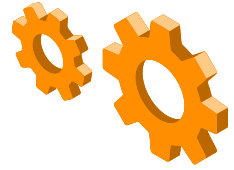


Silicon Valley Bank & Bank Merging



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01

Silicon Valley Bank



Silicon Valley Bank \$

- Bank located in Santa Clara California, USA
- Was the 16th largest bank in USA
- Bank for many start-up companies, especially tech companies
 - 44% of “ventured backed technology and healthcare” were clients
 - Clients: Roblox, Circle, Roku
- Flourished very much during 2019-2022
 - Lots of asset and investments
- Asset of 200 billion dollars before the collapse



우리은행

\$300 billion
5th largest bank in Korea



\$473 billion
largest bank in Korea



02

Collapse of SVB

Why Did SVB Collapse?



Commercial Customers

- Clients were mostly companies
- Had deposit insurance



Lack of Loans

- Not many individual consumer consumer to lend loans
- Lack of source to make profit



Treasury Bond (국고채)

- Using the deposits, SVB bought treasury bonds
- Increase of interest rate led to decrease of merit for investors to invest in SVB



Withdrawal of Deposit

- Investors decide to buy their own bonds
- Sold stocks to accommodate with withdrawal

<https://www.cnn.com/2023/03/09/svb-financial-falls-more-than-50-percent-as-tech-bank-looks-to-raise-more-cash/index.html>

Stock Collapse

MARKETS

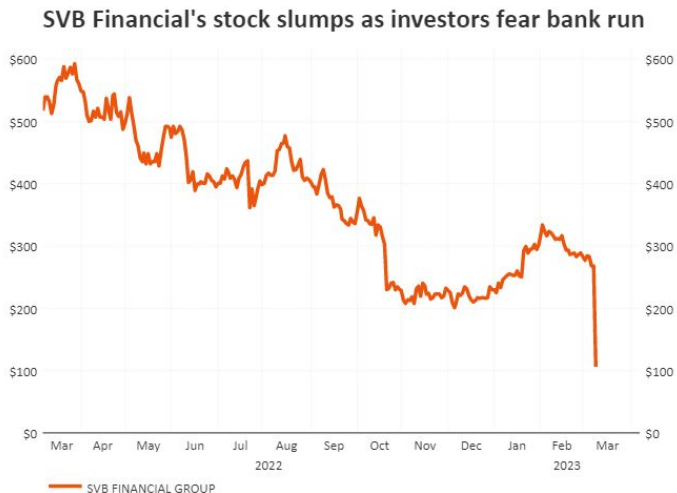
Shares of SVB Financial fall 60% as tech-focused bank looks to raise more cash

PUBLISHED THU, MAR 9 2023•2:33 PM EST | UPDATED THU, MAR 9 2023•8:21 PM EST



Jesse Pound
@JIN/JESSE-POUND
@JESSERPOUND

SHARE    



- Stock collapses by 60% on March 9th
- Surprised customers withdraw \$42 billion from the bank
- Declared bankruptcy on March 17th

⇒ Bank failure

Technology lead to faster bankruptcy?

- 1987 Black Monday
- Phone & Online banking system



Outcome



**Deposit ensured
by Fed**

**Investor's
money uninsured**



**First Citizens
Bank buying SVB
for \$16.5
billion**



03

American Banking System





Problems with American Banking System

Too many banks



US: 1 bank: 71,000 people

EU: 1 bank: 85,000 people

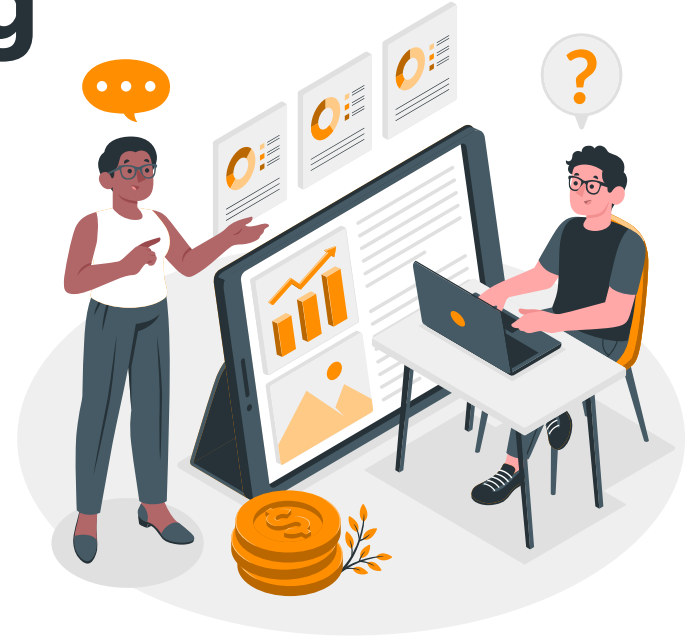
South Korea: 1 bank 337,000 people

Less Regulation

- Less regulation for banks with \$250 billion assets
- Banks not willing to cross \$250 billion
- If the government reduces the threshold, more merging will potentially happen

04

Global Banking System Crisis



Banking System

Credit Suisse

Second largest bank in Switzerland goes bankrupt

Archegos Capital and Greensill Capital collapse

Taken over by UBS

Signature Bank

Domino effect from SVB failure

Fear made depositors withdraw money from bank

One of the small banks

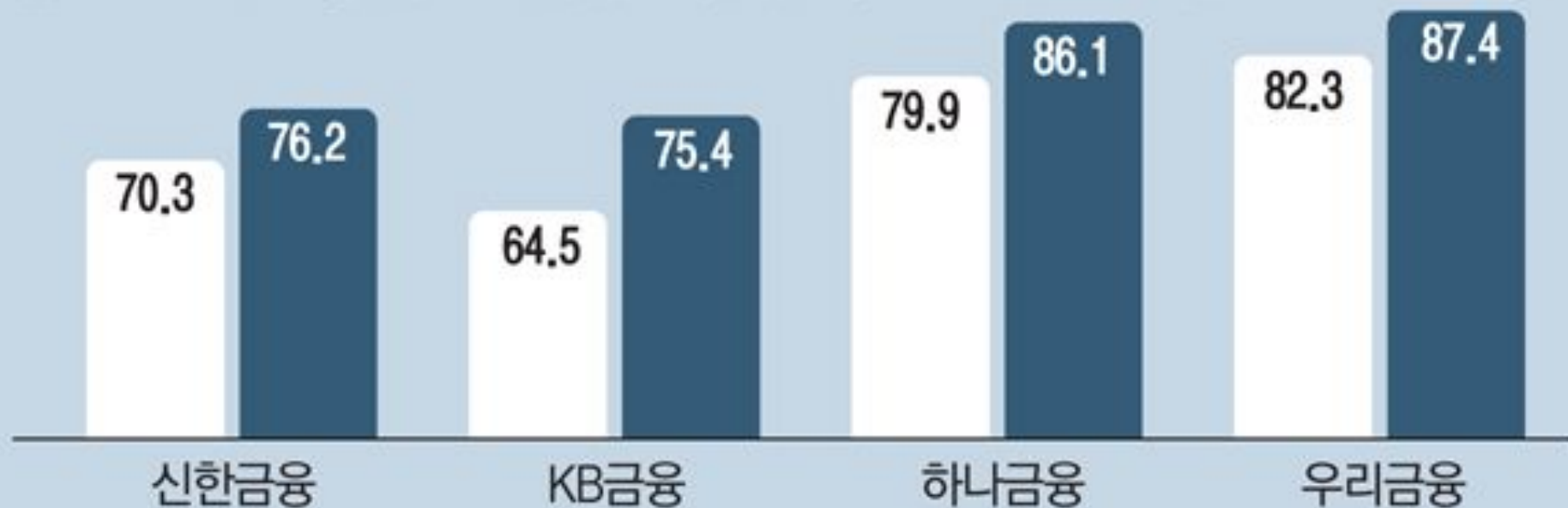
Korean Banking System?

Not the target of bankruptcy

Ironically, Korean banks are earning excessive amounts of profit

Housing (mortgage) loans

순이자이익 비중 얼마나 늘었나 (단위=%) ■ 2021년 ■ 2022년



*순이자이익을 총영업이익으로 나눈 비율. 3분기 누적 기준. 자료=각 사 공시

Discussion Questions

1

What are some common point for the banks that have failed (both in past and present)?

2

Is it good for the banks to be merged together? What are some pros and cons?

3

What can the individuals depositors do to avoid loss from bankruptcy? Are there any preventive measures?



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